

Later in the year it moved sideways until August 2010, when it resumed its upward move. Here's what I wrote in my notebook: "Sell reason: Hit stop. This sold on reaction to market weakness, so my guess is I sold too soon. I expect a rebound, but you can't be too sure."

I sold within a week of the stock peaking and before it dove by more than 40%. I made 194% on the trade (I almost tripled my money!).

This is one of those trades you want to climb up on the roof of your house with a megaphone and shout at your neighbors that you're rich. Of course, you'd be gunned down by the rednecks surrounding your house like a moat, so don't do that.

There is no lesson to share with this trade. A perfect entry and perfect exit led to a nice reward for holding onto the stock for 1.8 years.

Ann Taylor

In Ann Taylor (ANN), the stock made a big dive, forming the left side of the big W in late 2006. I bought on 1 February 2007, at a price of 35.19. This was a late entry by about 2 weeks, and yet if I had bought at a penny above the confirmation price, I would have entered the trade at a lower price: 33.82. My preferred entry method is to place a buy stop a penny above the breakout price.

On the sale, here's what I wrote: "21 March 2007. I decided to sell this using a trailing stop set between today's close and the low +.01 as the cents margin (11 cents) [I think this has to do with setting an automated trailing stop with my broker]. Hopefully, this will move up in the morning and I can get out at a higher price than just selling at the open. The market was up big today, and this stock was one of the few to close lower. It's running up against SAR [support and resistance] at 39–40, as predicted. My guess is it'll form a handle and backtrack. I don't want to wait around, though. I think the company sucks because SSS [same-store-sales] are soft despite positive comments from the company."

I received a fill at 39.09. Four trading days later, the stock peaked at 39.92, before entering the bear market and seeing the stock bottom at 2.41, or 94% below where I sold. I made 11% on the trade.